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China Healthcare

Expert Call Takeaways — COINS & BINSa Act: confirms low possibility of US Outbound Investment Restrictions in China Biotech

CITI'S TAKE

We hosted an expert call with Timothy Mills — Managing Partner, Mills Law Group LLP, Washington DC on Jun 9th to discuss the Biotech Investment National Security Act of 2026 (the BINSa Act) and the latest 1260H list. Recall the BINSa Act is a proposed amendment to the COINS Act (our [report](#)). According to the expert, the probability of BINSa becoming law in this Congressional session is very low, and even if it advances, a full legislative cycle would likely take 1–1.5 years. The Treasury Department (the lead agency for COINS) is at most lukewarm because of the administrative difficulties that would be associated with BINSa implementation should BINSa become law. Industry lobbying remains a powerful counterweight. In addition, the 1260H listing does not constitute sanctions but raises the compliance burden for US entities transacting with listed companies.

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Background: Why BINSa Now? — To address the bipartisan support, Mr. Mills noted BINSa was introduced by bipartisan Michigan legislators — not a broad, multi-state coalition — and national bipartisan support remains limited. The bill's origins reflect the interests of Michigan's biopharma industry base more than a national security consensus. The existing COINS Act does not cover outbound investment in biotech. By the time BINSa was introduced, the House version of the FY2027 NDAA (National Defense Authorization Act) had already cleared committee without any BINSa-related provisions, and there is currently no companion bill in the Senate. It is worth noting why biotech was excluded from the original COINS Act. Semiconductors, AI, and quantum computing were prioritized as obviously military-enabling and already heavily securitized. Biotech, by contrast, has a massive civilian and commercial footprint, and is less intuitive to the median legislator as hard technology. It explains why the Treasury Department has explicitly stated that under existing law it has no authority to regulate outbound investment in biotech. Intense pharma and biotech industry pushback reinforced this exclusion.

BINSa pathway and low possibility of passage — Mr. Mills pointed out three possible pathways to enactment and probability of passage < 30–40% (see table 1). Even if the bill advances in a future session, a complete legislative cycle — accounting for committee markups, floor votes in both chambers, and conference — would most likely require 1 to 1.5 years. Several senior senators maintain a hawkish posture and are supportive of BINSa. A number of independent-leaning senators whose positions may be persuadable represent the primary lobbying target for both sides. Opposition is concentrated among free-market-oriented members and Massachusetts senators, whose state hosts a concentration of biopharma companies with direct economic exposure to the bill's restrictions.

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Figure 1. BINSAs pathways to enactment

Pathway	Probability	Key Obstacles	What to follow
1. Inclusion as FY2027 NDAA amendment	30- 35%	House Armed Services Committee Chairman opposes attaching non-germane provisions to the NDAA. The House Armed Services Committee had passed the FY27 NDAA without BINSAs language, sending it to the full House for further debate.	Check whether the House Rules Committee decides to debate on BINSAs amendment
2. Administrative action by Treasury	35- 40%	Legislators have written to the Treasury Secretary urging action, but Treasury has explicitly stated it lacks statutory authority to regulate biotech outbound investment under COINS. Expanding enforcement would likely invite litigation.	News update from the Treasury Department about BINSAs
3. Standalone bill passage	<10%	Referred to the House Financial Services Committee, whose Chairman is not favorable and can indefinitely delay floor consideration. No Senate companion bill exists now.	Watch out for the introduction of Senate bill of BINSAs

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Source: Citi Research, Industry expert

Industry Dynamics and the Lobbying Counterweight — Mr. Mills thinks the BINSAs Act faces a lot of challenges from US large pharma and they are lobbying actively. The industry's goal is either to block BINSAs entirely or to secure substantial modifications that narrow its scope. Industry pushbacks include: 1) large pharmas and global biotechs rely on Chinese clinical trials, manufacturing, and partnerships; 2) outbound restrictions could disrupt R&D pipelines, delay drug approvals, and raise costs; and 3) routine licensing and collaboration would be at risk if biotech were swept into a blunt outbound regime. Business coalitions argued that biotech had already been under pressure from BIOSECURE style procurement rules and supply chain scrutiny, and adding outbound capital controls would impose additional uncertainty.

Expects a Watered-down Version if BINSAs Becomes Law — Mr. Mills thinks the final version of any enacted BINSAs legislation could include significant carve-outs and relaxations. These would likely include a narrower definition of covered foreign biotech entity and covered transactions, exemptions for licensing arrangements and clinical trial collaborations, higher value thresholds for transaction review, a passive investment exception, and a national interest waiver at the Treasury's discretion. US PE/VC firms are currently prohibited from making equity investments, JV, or convertible bond to Chinese biotech companies involved in sensitive technologies such as genomics. Non-prohibited investments require a 30-day advance filing, and Treasury review can extend to 120 days, materially impairing deal execution timelines. The bill applies to all US persons and their globally controlled subsidiaries, meaning that routing transactions through European or Japanese affiliates to circumvent the rules would constitute a violation carrying severe penalties. Companies headquartered outside the US with only a US subsidiary would not be subject to the bill if the relevant transaction is directed by the foreign parent and the US subsidiary exercises no actual control over the transaction.

1260H List settled — Separately, [the 1260H List](#) was updated overnight, and Wuxi Aptec is included. On fundamental, we see minimal impact as only federal funded projects would be prohibited from partnering with Wuxi Aptec. Recall the withdrawn version in Feb 2026 included Wuxi Aptec as well, so we think such official list inclusion is well anticipated by the market. On Jun 9, Wuxi Aptec also announced opposition against 1260H list inclusion. Per the expert, listed companies may first pursue an administrative reconsideration process with the Department of Defense. If the administrative review does not change the designation, companies may then file suit in US federal court challenging the listing as lacking a rational basis. The expert anticipates that Wuxi Aptec will move quickly to initiate an appeal, consistent with how similarly situated companies have responded to prior listings.

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Appendix A-1

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